Executive Summary

Love's Roster Card AI Modernization

Document Type:	Executive Summary - Strategic Planning
Date:	March 28, 2026
Prepared For:	Love's IT Leadership
Net Incremental Investment:	$5.45M over 24 months
Expected Annual Return:	$7.3M (Conservative: $3.9M | Optimistic: $10.4M)
ROI:	134% (Expected case)
Payback Period:	9.0 months

Internal Use Only - Strategic Planning
SAP BTP Modernization Team

I. Strategic Opportunity

Transform Roster Card from a **reactive reporting tool** into a **proactive AI-powered workforce intelligence platform** that reduces operational costs, improves compliance, and enhances efficiency across 670+ Love's locations.

Investment Required: $5.45M over 24 months to add AI capabilities and expand platform capacity for enterprise deployment.

Expected Return: $7.3M in annual operational savings (134% ROI, 9-month payback).

II. Business Value Proposition

Annual Value Forecast

AI ENHANCEMENT	CONSERVATIVE	EXPECTED	OPTIMISTIC
Overtime Reduction	$1.9M	$3.1M	$4.4M
Compliance Automation	$750K	$1.5M	$2.1M
Scheduling Efficiency	$800K	$1.6M	$2.3M
Manager Productivity	$480K	$1.1M	$1.6M
TOTAL ANNUAL VALUE	$3.9M	$7.3M	$10.4M

Return on Investment

METRIC	VALUE
Risk-Adjusted ROI	72% (Conservative) to 134% (Expected)
Payback Period	9.0 months
Net Present Value (5 years)	$22.2M at 10% discount rate
Net Incremental Investment	$5.45M over 24 months

III. Five-Phase Implementation Roadmap

Phase 1: Foundation & Pilot (Months 1-4)

- **Scope:** 10 pilot stores with core AI capabilities
- **Net Investment:** `$1,225K`
- **Deliverables:** Natural language queries, predictive alerts, real-time dashboards
- **Quick Win:** Immediate visibility into staffing gaps and compliance risks

Phase 2: Compliance & Scheduling AI (Months 5-8)

- **Scope:** Compliance risk scoring, autonomous scheduling
- **Net Investment:** `$1,090K`
- **Value Unlock:** $2.1M annual compliance savings
- **Deliverables:** Automated certification tracking, optimized shift scheduling

Phase 3: Regional Rollout (Months 9-14)

- **Scope:** 150 stores with advanced predictive models
- **Net Investment:** `$1,450K`
- **Value Unlock:** Cross-store labor optimization
- **Deliverables:** Multi-location forecasting, district-level analytics

Phase 4: National Scaling (Months 15-20)

- **Scope:** All 670+ stores
- **Net Investment:** `$1,185K`
- **Value Unlock:** Full $7.3M annual value realization
- **Deliverables:** Enterprise-wide AI workforce platform

Phase 5: Advanced AI Innovation (Months 21-24)

- **Scope:** Computer vision, advanced forecasting

- **Net Investment:** `$500K`
- **Strategic Value:** Industry leadership position
- **Deliverables:** Next-generation workforce intelligence capabilities

Total Investment: $5.45M over 24 months

Breakdown: Platform capacity expansion ($1.75M) + AI capabilities ($700K) + Implementation services, training, and infrastructure ($3.0M).

Returns: $7.3M annual operational value (134% ROI, 9-month payback).

IV. Risk Mitigation Framework

RISK CATEGORY	MITIGATION STRATEGY	CONTINGENCY PLAN
AI Accuracy	Pilot validation, human oversight, continuous monitoring	Revert to manual processes if accuracy <75%
Data Privacy	PII anonymization, role-based access, audit trails	Legal review gates at each phase
User Adoption	Phased rollout, change management, training programs	Extended pilot period if adoption <50%
Technical Complexity	SAP BTP native integration, proven platform	Dedicated SAP support engagement
Compliance	Regulatory monitoring, explainable AI, legal review	External compliance audit before scaling

V. Technical Architecture Foundation

Platform Strategy

- **Foundation:** SAP Business Technology Platform (BTP)
- **Data Layer:** SAP data platform (Datasphere)
- **AI Engine:** SAP AI Core + Joule AI
- **Integration:** OData APIs, Cloud Integration Services

Strategic Advantages

- Leverages existing SAP investment and BTP migration momentum
- Native SAP integration eliminates third-party ETL complexity
- Enterprise-grade security and compliance built-in
- Unified data model spans HR, operations, and finance systems

VI. Executive Decision Criteria

GO Decision Indicators (Evaluated at Month 4 Pilot Review)

- Pilot achieves 3-5% overtime reduction within 90 days
- User adoption exceeds 70% in pilot stores
- AI prediction accuracy exceeds 85%
- Technical integration completed within 1 week of target
- Zero data privacy or compliance incidents

NO-GO Decision Indicators

- Pilot overtime reduction below 2%
- User adoption below 50%
- AI prediction accuracy below 75%
- Unresolved data privacy or compliance concerns
- Technical integration delayed beyond 2 weeks

> **Critical Review Gate:** Month 4 - Full evaluation required before Phase 2 investment authorization

VII. Strategic Rationale: Why Now?

Market Timing Factors

1. **BTP Migration Momentum**
   Roster Card modernization aligns with ongoing SAP BTP transformation initiative
2. **Proven AI Maturity**
   SAP Joule AI and AI Core reached production readiness in 2025-2026 GA releases
3. **Operational Pressure**
   Manual compliance tracking and overtime costs continue to escalate
4. **Competitive Advantage**
   Early AI adoption establishes Love's as retail workforce management leader
5. **Risk Mitigation Through Pilot**
   Small-scale validation before enterprise-wide commitment

VIII. Executive Recommendation

Proposed Action

Approve Phase 1 Pilot Investment: $1,225K for 10-store, 90-day proof of concept

Pilot Success Metrics

- 3-5% overtime reduction ($190K-$315K in pilot savings)
- 70%+ manager adoption rate
- 85%+ AI prediction accuracy
- Zero compliance violations during pilot period

Immediate Next Steps (Week of April 7, 2026)

1. Approve pilot funding ($1,225K authorization)
2. Form cross-functional steering committee
    - IT Leadership
    - Operations Management
    - Human Resources
    - Finance / Procurement
3. Select 10 pilot stores (diverse by size, region, operational complexity)
4. Engage SAP for co-innovation partnership discussion
5. Establish project governance and reporting cadence

Timeline to Value

- **Month 1-2:** BTP foundation and data integration
- **Month 3:** AI model training and pilot deployment
- **Month 4:** Pilot results evaluation and Go/No-Go decision
- **Month 5+:** Regional scaling (if approved)

IX. Appendices

- **Full Technical Documentation:** See 58-page detailed blueprint
- **Financial Model:** Detailed ROI calculations and assumptions (Financial Appendix v3)
- **Vendor Assessment:** SAP vs. alternative platforms
- **Change Management Plan:** Training and adoption strategy

Internal Use Only - Strategic Planning

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This executive summary provides an overview of the full strategic blueprint. *Complete technical specifications, financial modeling, and implementation details are available in the accompanying comprehensive analysis document and Financial Appendix.*